

## LBOMODEL2 — Assumptions\_Drivers Source Map (no separate sources tab)

Each yellow input on **Assumptions\_Drivers** has Source link (col E) + ~30-word justification (col F) on the **same row**. Excel:

[https://raw.githubusercontent.com/vengeanceai/USC/Rainmaker/cursor/vengeanceaiusclbomodel2-44dc/vengeanceai/USC\\_LBOMODEL2.xlsx](https://raw.githubusercontent.com/vengeanceai/USC/Rainmaker/cursor/vengeanceaiusclbomodel2-44dc/vengeanceai/USC_LBOMODEL2.xlsx)

| Row | Driver                       | Source                                        | Why reasonable (~30 words)                                                                                                                                                                             |
|-----|------------------------------|-----------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 5   | Revenue growth 10%           | ZoomInfo FY2024 results (BusinessWire)        | ZI FY24 revenue fell ~2%, so 10% is a forward recovery/LBO underwrite—not trailing actual. Held constant in AI vs Base so IRR uplift comes from cost takeout, not inflated top-line.                   |
| 6   | Gross margin 80%             | Aleph/Benchmarkit SaaS GM median ~80%         | 2025 software median gross margin is ~80% (Aleph×Benchmarkit). ZI already prints ~84% GAAP GM; using 80% is a conservative SaaS benchmark, not an aggressive stretch.                                  |
| 7   | Sales payroll cut ~15%       | AI SDR vs human SDR cost/meeting              | Published outbound math: fully loaded human SDRs ~\$110–150k vs much cheaper AI stacks. Cutting human sales payroll 15% in Y1 is a modest slice of ZI's 1,513 S&M; headcount.                          |
| 8   | Commission cut ~20%          | SDR pay mix ~70/30 base/variable              | SaaS SDR OTE is typically ~70% base / ~30% variable. Replacing outbound humans with AI logically shrinks the commission pool; ~20% is a partial, not full, cut of that variable layer.                 |
| 9   | AI infrastructure \$15m      | Salesforce Agentforce \$2/conv + Flex Credits | SF publishes \$2/conversation and ~\$0.10/action Flex Credits. At ZI scale (~378 outbound roles at 25% of 1,513 S&M;), \$5–10k/mo AI agents imply ~\$23–45m; \$15m is conservative.                    |
| 10  | S&M; growth Y2+ 2%           | Gartner: agentic AI scales via inference opex | Once agents replace headcount, S&M; opex need not grow with revenue. Cap growth at ~2% (near inflation/maintenance) to model infinite agent scale vs linear human hiring.                              |
| 11  | G&A; % rev 18%               | ZoomInfo FY24 G&A; \$295.3m (~24% rev)        | ZI FY24 G&A; was \$295.3m (~24% of \$1,214m). We lock ~18% as a leaner but still corporate G&A; load; thesis does not touch finance/comp overhead—only the sales floor.                                |
| 12  | CapEx reduction ~5%          | In-house SDR tooling/laptop stack costs       | Human SDR all-in budgets include laptops, seats, and tooling. Terminating outbound humans cuts recurring device/refresh CapEx; ~5% vs base CapEx rate is a small, directionally correct haircut.       |
| 13  | WC improvement ~10%          | ZI receivables ~80 days (SEC ratios)          | ZI receivables turnover ~80 days shows WC is material. Automated billing reminders can shorten DSO; modeling ~10% WC intensity vs base is a modest collections improvement, not a wipeout.             |
| 14  | SOFR ~4.3%                   | NY Fed official SOFR page                     | SOFR is the NY Fed's official overnight Treasury-repo financing benchmark used to price leveraged loans. ~4.3% is a planning level near recent SOFR prints (see also FRED SOFR series).                |
| 15  | TLA spread +4%               | TLA typical SOFR+275–375bps (illustrative)    | Bank Term Loan A in LBO structures typically prices tighter than TLB. SOFR+400bps sits at the wider end of published TLA ranges—conservative senior pricing independent of AI ops.                     |
| 16  | TLB spread +5%               | TLB often SOFR+300–500bps; 1%/yr amort        | Institutional Term Loan B commonly prices SOFR+300–500bps in LBO guides. SOFR+500bps is the upper published band—set by syndicated loan markets, not by the company's internal AI software strategy.   |
| 17  | Mandatory amort 1%           | Syndicated TLB ~1% annual amort standard      | Market-standard institutional TLB schedules about 1% annual amortization with a bullet at maturity. We keep 1% fixed because credit agreements—not AI-generated FCF—set the mandatory repayment floor. |
| 18  | Cash sweep 100%              | LBO excess cash / optional prepay practice    | Sponsor LBOs typically sweep excess free cash to optional debt prepay after mandatory amort. 100% sweep maximizes deleveraging so AI margin gains show up in MOIC/IRR, not idle cash.                  |
| 19  | Tax rate 21%                 | PwC: US federal corporate rate 21%            | US federal corporate income tax is a flat 21% statutory rate (TCJA). Operating-margin gains do not change the federal statutory rate used in the model.                                                |
| 20  | Exit multiple 13x            | PE SaaS buyouts often ~15–22x EBITDA          | PE SaaS deals often underwrite ~15–22x EBITDA. Locking exit at 13x in BOTH AI and Base cases is deliberately conservative so equity creation is attributed to ops, not multiple expansion.             |
| 21  | S&M; baseline \$425m         | ZI FY24 S&M; \$414.1m on \$1,214.3m rev       | Company-reported FY24 sales & marketing expense = \$414.1m on \$1,214.3m revenue (~34%). The model's ~\$425m (~35%) baseline is a rounded figure consistent with that audited filing disclosure.       |
| 22  | Payroll baseline \$318.8m    | SDR OTE mostly base (~70%)                    | With ~70/30 base/variable SDR mix, most S&M; people cost is payroll/base. Payroll baseline = S&M; – commission pool (~75% of S&M;) matches that pay-mix structure.                                     |
| 23  | Commission baseline \$106.2m | Variable ~30–35% of SDR OTE                   | Tech SDR variable is typically ~30–35% of OTE. Setting commission pool at 25% of S&M; is a slightly conservative carve of total S&M; for variable payouts.                                             |
| 24  | CapEx base 2% rev            | ZI FY24 unlevered FCF / light CapEx SaaS      | SaaS models run low CapEx vs industrials; ZI still printed strong FY24 FCF. 2% of revenue is a simple maintenance CapEx planning rate before the AI ~5% haircut.                                       |
| 25  | WC base 2% Δrev              | ZI receivables days ~80 (WC intensity)        | Receivables ~80 days imply WC scales with growth. Using 2% of Δrevenue as ΔNWC is a simplified SaaS WC plug anchored to that receivables reality.                                                      |

